Finally, alpha can also stem from liquidity provision. For instance, investment managers, having relatively easy access to finance, can hold illiquid or arbitrage positions to maturity: if a closed end fund is trading at a significant premium to the underlying market, the manager can short the fund, buy the underlying market, and hold the position till the premium eventually dissipates. What is important here is that the investment managers have the liquidity to hold till the arbitrage closes.

ILLIQUIDITY SEEKING

This discussion should suggest that alpha is quite hard to generate since most ways of doing so depend on the investment manager possessing unique abilities – to pick stock, identify weaknesses in management and remedy them, or undertake financial innovation. Unique ability is rare. How then do the masses of investment managers justify the faith reposed in them by masses of ordinary investors? The answer is probably liquidity provision, which is the activity that depends least on special managerial ability and could be termed the poor manager's source of alpha.

The problem when the world has excess desired savings relative to investment, and when central banks are accommodative, is that it is awash in liquidity. Many investment managers can enter the business of liquidity provision, and even as they take ever more illiquid positions, they compete away the returns from doing so. The point is that current benign conditions engender 'illiquidity-seeking' behaviour. But they could have worse effects.

TAIL RISK AND HERDING

For what is the manager with relatively limited ability to do when central banks flood the market with liquidity and the rents from liquidity provision are competed away? He could hide risk – that is,